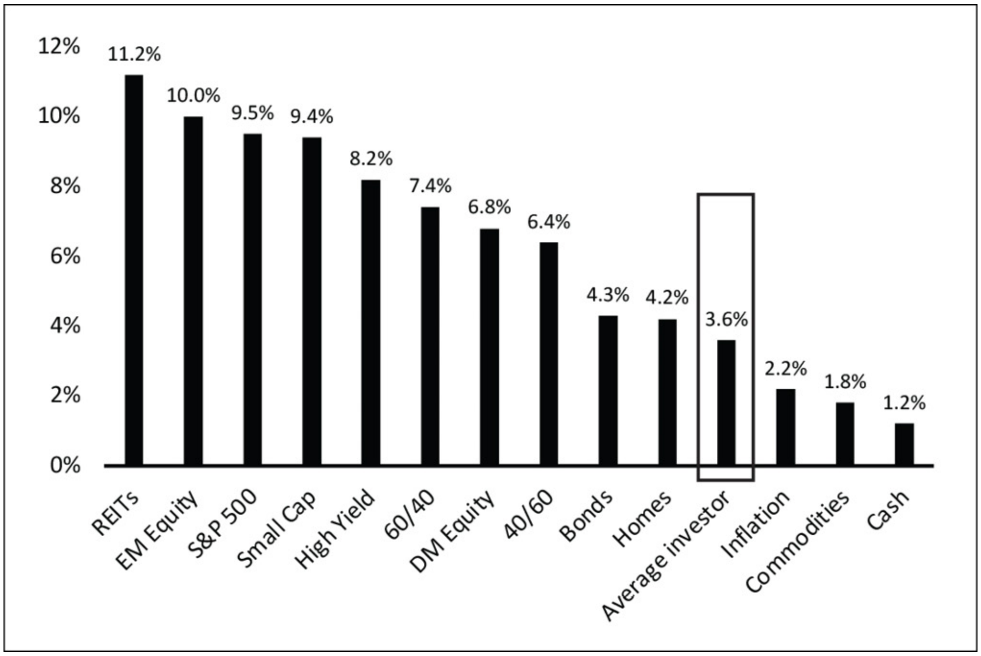
20-year annualized returns by asset class (2002–2021)



The longer the holding period, the greater the impact of errors that disrupt compounding. This is the cost of the behavior gap.

You can see the same gap between investor returns and the assets they hold across any asset, fund, or ETF you review. Counterintuitive though it may be, this makes sense when you consider our proclivity to greedily chase upwards what's rallying, or to panic sell out of fear what's falling. This has happened every decade since the 1960s.

The best example of the behavior gap in the modern era is the ARK Innovation ETF (ARKK), managed by Cathie Woods. In 2020, she had one of the best years *ever* of any mutual fund or ETF. For the calendar year, the fund gained a huge 153%; from the Covid lows in March 2020 to its peak 11 months later, its returns were an eye-popping 359%. Woods was lauded with recognition—and huge inflows. Therein lay the behavior gap: Investors bought ARKK *after* its huge run.

Despite having one of the greatest peak-to-trough runs in ETF history,